

Market Research: Small-Business Brain

Why This Market Matters

Pakistan has over 100 million WhatsApp users, making it one of the most WhatsApp-heavy countries in the world. For small businesses, WhatsApp isn't just one option among many, it's usually the main way they talk to customers, take orders, and handle support, especially for home-based sellers who don't have a website or a support team.

Pakistan's small business sector is seen as a big opportunity for AI tools because most of these businesses still run things manually. For them, automation isn't just a nice extra, it's something that can genuinely help them keep up with customer messages without hiring more people.

The Problem, Confirmed Beyond Our Own Research

Our survey and interview findings match a pattern that shows up across small businesses in Pakistan generally:

- Most small businesses use WhatsApp, but very few have any automation set up
- It often takes several hours for a small business to reply to a message, and anything sent in the evening can go unanswered until the next day
- When businesses add even simple auto-replies, they tend to see more sales, because replying in minutes instead of hours is often what decides who gets the customer

This backs up what we found ourselves: slow replies are a real reason small business owners lose customers, not just a small annoyance.

What Already Exists in the Market

A few companies already offer WhatsApp automation in Pakistan, but they're built for a different kind of business than the ones we researched:

- **WhatsApp automation platforms** (like WeTarseel, TekkPak, Botsify, ThumbCrowd) offer auto-replies, broadcast messages, and dashboards, usually aimed at businesses with a marketing budget and enough scale to pay for a monthly platform
- **Freelance chatbot builders** also exist, usually charging somewhere between PKR 30,000 and 150,000 per project, which assumes the business owner has money to spend and wants a custom setup

How Big Is This Market

Pakistan's official National SME Policy estimates there are over 5.2 million SMEs in the country, and 72% of the non-agriculture workforce is employed in the informal sector, which is

largely made up of small and micro businesses like the one we interviewed. Even a small slice of that number choosing to use a low-cost WhatsApp assistant would be a meaningful market. We don't have an exact figure for how many of these specifically run their business through personal WhatsApp rather than any formal system, that would need more research, but the underlying pool of potential users is large.

It's worth being upfront that most of the other numbers in this document (like WhatsApp user counts and conversion-rate improvements) come from companies that sell WhatsApp automation tools, so they have a reason to make the case sound strong. They're useful for directional context, but they aren't independent, verified data.

The Free Alternative: Built-In WhatsApp Business Features

It's worth naming the most obvious competitor: WhatsApp Business itself is free, and already includes tools like Quick Replies, Labels, Catalogs, and Away Messages. In our own survey, several business owners already use these features.

The limitation is that these tools are static. Quick Replies still have to be manually triggered by the business owner, Away Messages send the same fixed text no matter what's asked, and none of them can tell a customer their order is sold out on their own or answer a specific question about price or availability. They reduce typing, but they don't reduce the number of messages a business owner has to personally read and respond to. That's the actual gap an AI agent would need to close to be worth switching to.

Who's Left Out

Many small business owners in Pakistan run their entire business off their personal WhatsApp number, handling dozens of messages a day by themselves. They don't have a marketing budget, aren't formally registered, and don't have time for a big technical setup. They just want the same repeated questions answered automatically and an easier way to say "sold out" without typing it to every single person.

This group doesn't really fit what's currently being sold to them, the tools that exist are either too expensive, too complicated, or built for businesses much bigger than theirs.

Sources

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